

Stock Report: AMZN

Equity Research Report

AMZN \$227.62

Generated on: 6/25/2026

Stock Summary

Current Price	\$227.62
Price Change	-6.65 (-2.84%)
Previous Close	\$234.27
Trading Date	2026-06-25

Company Description

Amazon.com, Inc. (TICKER:AMZN) is a leading global technology and commerce company operating three synergistic segments: North America retail (57% of Q1 2026 revenue), International retail (22%), and Amazon Web Services (AWS, 21%). It has evolved from an online retailer into a dominant infrastructure provider powering e-commerce, cloud computing, AI services, logistics, and satellite internet, leveraging proprietary technology and scale.

Financial Analysis

Competitors

Industry: saas_subscription

Rating: 4/5

Key Points

- AWS leads cloud with 31% share vs Microsoft (28%) and Alphabet (14%), growing faster than peers.
- Custom silicon (Trainium/Graviton) creates cost and margin moat competitors cannot easily replicate.
- Retail leadership with ~40% U.S. market share and superior fulfillment productivity.
- Satellite broadband (Amazon Leo) is a unique emerging moat with limited credible competitors.
- Execution risk centers on capacity deployment speed, not market demand or competitive threats.
- Industry classification: saas_subscription, reflecting cloud and AI infrastructure focus.

Summary

Amazon (TICKER:AMZN) holds dominant market positions in cloud computing (AWS 31% global share), U.S. e-commerce (~40% share), and emerging satellite broadband. Its competitive moat is driven by proprietary custom silicon delivering multi-hundred basis point margin advantages, unparalleled logistics scale with 1 million robots, and a growing AI ecosystem. Competitors like Microsoft (TICKER:MSFT) and Alphabet (TICKER:GOOGL) have strong cloud offerings but lack Amazon's silicon cost advantages and scale. Walmart (TICKER:WMT) competes in retail but cannot match Amazon's fulfillment efficiency. The satellite broadband market is nascent with few credible alternatives to Amazon Leo. Execution speed and capacity deployment remain key risks.

Financial Health

Rating: 5/5

Key Points

- Strong liquidity with \$104.7B cash and manageable leverage (debt-to-equity 0.53).
- \$53.4B debt issuance at favorable rates locks in funding for CapEx.
- Operating cash flow up 53% YoY to \$26B quarterly supports investments.
- Negative free cash flow driven by \$44.2B quarterly property/equipment purchases.
- \$364B in unearned revenue commitments provide visibility and reduce risk.
- Balance sheet strength enables aggressive capacity build without equity dilution.

Summary

Amazon maintains a strong financial position with \$104.7 billion in cash and a conservative debt-to-equity ratio of 0.53 despite a \$53.4 billion debt issuance to fund a \$200 billion CapEx cycle. Operating cash flow increased 53% YoY to \$26 billion quarterly, supporting aggressive capital investments. The \$364 billion contracted revenue backlog de-risks the capital deployment. While free cash flow is negative near-term (-\$18.17 billion quarterly) due to heavy CapEx, the balance sheet flexibility and customer prepayments provide confidence in funding and execution.

Growth

Rating: 5/5

Key Points

- AWS growth accelerated to 28% driven by AI demand and custom silicon.
- North America retail grew 12% with improved operating margins due to logistics productivity.
- International retail grew 19% (11% FX-neutral) with margin expansion despite investment phase.
- Amazon Leo satellite broadband and supply chain services create new growth avenues.
- \$364 billion AWS backlog up 40% YoY provides strong revenue visibility.
- Growth constrained short-term by capacity deployment, not market demand.

Summary

Amazon's growth is powered by a structural AI supercycle in AWS, with 28% year-over-year revenue growth in Q1 2026 driven by a \$15+ billion AI revenue run rate and rapid expansion of custom silicon (Trainium/Graviton) at a \$20+ billion run rate growing triple-digit percentages. Retail segments show steady growth (12% North America, 19% International) supported by logistics efficiency and grocery expansion. Satellite broadband and supply chain services open new TAMs. Execution risk centers on capacity deployment speed, not demand.

Profitability

Rating: 4/5

Key Points

- AWS operating margin strong at 37.6%, up 22.6% YoY, driven by custom silicon and AI scale.
- Retail margins improve via logistics productivity and basket size growth, especially in grocery.
- International segment margin up 60 bps despite investment phase, indicating scalable fulfillment.
- Custom silicon (Trainium/Graviton) provides structural cost and margin advantages.
- Near-term margin compression due to \$1B Amazon Leo costs and fuel inflation in transportation.
- Long-term margin expansion expected as CapEx cycle completes and AI workloads scale.

Summary

Amazon's profitability is improving despite massive investments, with AWS operating margin at 37.6% growing 22.6% YoY, reflecting custom silicon cost advantages and AI-driven operating leverage. North America retail margins expanded 160 basis points to 7.9% due to fulfillment efficiency gains, while International margins improved modestly amid ongoing investments. The custom silicon business delivers multi-hundred basis point margin uplift, countering typical cloud margin compression. Near-term margin pressure arises from CapEx and satellite service costs but is expected to normalize as capacity monetizes.

Shareholder Returns

Key Points

- No dividend payments, consistent with growth and reinvestment focus.
- Capital allocation prioritizes funding massive CapEx for AI infrastructure and logistics.
- No significant share buyback programs reported, emphasizing growth over returns.
- Reinvestment aims to build durable competitive moats in cloud and logistics.
- Long-term shareholder value tied to execution of AI and infrastructure strategy.
- Cash generation supports investments rather than distributions currently.

Summary

Amazon does not pay dividends, reflecting its growth and capital-intensive strategy focused on reinvesting cash flows into expanding AWS capacity, custom silicon, logistics, and satellite infrastructure. The company prioritizes funding its \$200 billion CapEx cycle to capture structural AI-driven market opportunities. There is no mention of share buybacks, consistent with a focus on long-term value creation through operational scale and technology leadership rather than immediate shareholder payouts.

Valuation

Rating: 4/5

Key Points

- Premium valuation driven by AWS's 28% growth and AI infrastructure transition.
- Near-term negative free cash flow due to \$200 billion CapEx investment cycle.
- Operating cash flow multiple (19.64x) is reasonable compared to Microsoft (18.37x) and Alphabet (27.47x).
- P/S multiple (3.93x) reflects hybrid retail and cloud business.
- Strong balance sheet with \$104.7B cash and manageable debt supports valuation.
- Valuation discounts execution risk but prices in AI growth and custom silicon moat.

Summary

Amazon trades at a P/E of 32.06x, P/B of 6.59x, and operating cash flow multiple of 19.64x, reflecting its hybrid business model transitioning from asset-heavy retail to high-growth AI infrastructure. Its AWS segment's 28% growth and custom silicon margin advantages justify premium multiples over traditional retailers but remain below pure software peers like Microsoft (TICKER:MSFT) and Alphabet (TICKER:GOOGL). The \$200 billion CapEx cycle depresses near-term free cash flow, but backlog visibility and AI-driven margin expansion support a positive long-term valuation narrative.

News Articles

Amazon Faces FTC Investigation into Advertising Disclosures and Pricing Practices

6/17/2026 | Very Negative

Amazon has entered a formal investigation by the U.S. Federal Trade Commission into its advertising business, focusing on how the company discloses and prices its ad inventory. The probe centers on Amazon's use of "reserve pricing," a practice that sets a minimum price for ad slots and can obscure the true cost to advertisers, potentially misleading them about the terms and expenses of Amazon's advertising services.

Reserve pricing is alleged to create a hidden cost layer that advertisers are not fully aware of when bidding for ad space. By setting a floor price, Amazon can influence the final price paid by advertisers without transparently communicating that floor to them, raising concerns that the practice violates consumer protection laws that require clear disclosure of all costs associated with a service.

The investigation follows a broader pattern of FTC scrutiny. In September 2025, Amazon settled a separate FTC case for \$2.5 billion over deceptive Prime subscription enrollment practices, and an antitrust trial concerning its marketplace operations is scheduled for early 2027. These actions underscore the agency's heightened focus on Amazon's dominant market positions.

Amazon's advertising segment has grown rapidly, with revenue reaching \$68.5 billion in 2025—an increase of 21.8% year over year—and is projected to hit \$85.2 billion in 2026. The segment now ranks third among global digital ad companies, making it a critical driver of Amazon's profitability and a key part of its overall business model.

If the FTC finds Amazon's practices deceptive, the company could face multi billion dollar penalties and be required to overhaul its disclosure and pricing mechanisms. Such a ruling would not only affect Amazon's ad revenue stream but could also alter advertiser spend patterns on the platform, amplifying the regulatory risk for the company's core growth engine.

Amazon's management has not yet released detailed findings or potential penalties, but the company is closely monitoring the probe. Investors and advertisers are watching the investigation's progress, as the outcome could reshape Amazon's advertising strategy and its competitive standing in the digital advertising market.

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News Articles

Amazon Expands LTL Freight Service to All U.S. Businesses

6/10/2026 | Positive

Amazon has expanded its less than truckload (LTL) freight service to all U.S. businesses, effective June /10 /2026. The new offering enables door to door pallet shipping for third party warehouses, distribution centers, and retail partners, extending Amazon's logistics network beyond its own fulfillment centers.

The expansion leverages Amazon's existing logistics infrastructure, which includes more than 80,000 trailers and 24,000 intermodal containers. By opening its freight platform to external shippers, Amazon positions itself to compete directly with established LTL carriers such as FedEx Freight, Old Dominion, and Saia.

By monetizing its logistics assets, Amazon follows the AWS model of turning internal infrastructure into a revenue generating service. The move is expected to broaden Amazon's freight revenue base, strengthen its logistics platform, and create a new fee based income stream.

Jim Ruiz, Director of Amazon Freight, said: "The feedback from Amazon selling partners using our LTL service was clear: the technology, visibility, and reliability were exactly what they needed—and they wanted to use it more broadly. Now Amazon LTL can move your freight wherever it needs to go, servicing destinations nationwide for businesses of all sizes. With LTL, shippers get cost effective freight shipping while still benefiting from the real time tracking and dependability they expect from Amazon."

The expansion signals a strategic shift toward monetizing Amazon's logistics assets, similar to how AWS monetized internal cloud infrastructure. Analysts view the move as a potential disruption to traditional LTL carriers, with some calling it a watershed moment for the freight market.

Zech Hintz, vice president of global supply chain at Pattern, noted: "We started using Amazon for full truckload shipping four years ago because we needed a provider that could keep up with our growth. LTL has been the same story. In the past year, we've seen faster transit times and lower costs compared to traditional LTL services. It's rare to get both, and that's what makes this service stand out."

The expansion adds a new layer of flexibility for shippers, allowing them to use Amazon's technology and network for both full truckload and less than truckload moves. The company's fleet and real time GPS tracking, automated booking, and electronic proof of delivery underpin the service's reliability.

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News Articles

Amazon Secures Multi Billion Dollar Fiber Optic Deal with Corning to Expand U.S. Data Centers

6/8/2026 | Very Positive

Amazon.com, Inc. announced a multi billion dollar agreement with specialty glass maker Corning to supply optical fiber, cable, and connectivity solutions for its expanding U.S. data center footprint. The contract will provide the high speed connectivity required for Amazon Web Services' growing cloud and AI workloads, reinforcing the company's strategy to build out its infrastructure and secure the bandwidth needed for its AI services.

The deal is part of Amazon's broader \$200 billion capital expenditure plan to expand AI and supercomputing capabilities. Amazon has already committed \$10 billion to build new data center sites in North Carolina, and the Corning contract will help Amazon meet the bandwidth demands of its AI driven workloads. Corning, which has recently secured similar large scale agreements with Meta and Nvidia, will use the order to expand its Optical Communications segment, which saw a 36% increase in net sales in the first quarter. The agreement is expected to create 1,000 jobs at Corning's manufacturing facilities in North Carolina, strengthening the domestic supply chain for critical digital infrastructure components.

Corning's stock rose 8.9% on the announcement, reflecting investors' confidence in the company's growing role in the AI supply chain and the visibility of future orders. Amazon's stock increased about 1%, indicating that the market viewed the deal as a routine component of its larger AI buildout rather than a standalone catalyst.

Matt Garman, CEO of AWS, said the partnership "continues our commitment to American manufacturing and creates 1,000 new jobs at Corning's facilities near our data centers." Corning CEO and President Wendell Weeks called the agreement "a significant milestone for Corning and for American manufacturing," noting that the partnership will enable the company to scale production to meet the growing demand for high density fiber solutions such as multicore fiber, which can deliver up to four times the optical pathway density of traditional single core fiber.

The agreement underscores the strategic importance of fiber optics for AI data centers. High speed connectivity is essential for the massive data transfers required by AI models, and securing a domestic supply chain reduces exposure to international sourcing risks. For Amazon, the deal is one element of a broader AI infrastructure strategy that includes custom chips, networking equipment, and energy efficient data center designs. For Corning, the contract reinforces its position as a key supplier in the AI ecosystem and signals continued growth in its Optical Communications segment.

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News Articles

Amazon Sets 2026 Prime Day for June /23 26, Expanding to Four Days

6/2/2026 | Positive

Amazon announced that its 2026 Prime Day will run from June 23 to June 26, a four day event that moves the sale earlier than the traditional July window. This marks the second consecutive year that Amazon has extended Prime Day to four days, following the 2025 expansion.

The shift to June is part of a strategy to capture consumer spending earlier in the summer and to avoid clashes with major events such as the FIFA World Cup and the 250th anniversary of U.S. Independence Day. By moving the sale to a period of heightened online shopping, Amazon aims to benefit from consumers who are adjusting to inflation concerns and seeking value driven purchases.

Amazon will emphasize groceries and household essentials, a focus that aligns with its Whole Foods acquisition and its goal of expanding grocery sales. The company also plans a sweepstakes offering a year of free groceries to drive traffic and deepen customer loyalty during the event.

The event will leverage Amazon's logistics network to deliver faster service and support the expansion of Prime membership. The company's broader strategy includes integrating AI tools such as Alexa for Shopping to enhance the shopping experience and drive higher conversion rates.

By moving Prime Day to June and extending it to four days, Amazon aims to capture a larger share of the summer shopping season, strengthen its Prime membership base, and maintain growth momentum amid economic uncertainty.

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News Articles

Amazon AWS in Talks to Add SpaceX's Grok Models to Bedrock AI Platform

5/29/2026 | Negative

Amazon Web Services announced on May /28 /2026 that it is in talks to integrate SpaceX's Grok generative AI models into its Bedrock platform, the cloud service that already hosts Anthropic, Meta, Cohere, and OpenAI models.

The move would broaden Bedrock's model selection, positioning AWS as the largest inference engine for generative AI and strengthening its competitive moat against Microsoft Azure and Google Cloud, which each offer their own model lineups.

For AWS, adding Grok expands Bedrock's appeal to enterprise customers seeking diverse AI capabilities, while for SpaceX the partnership offers access to AWS's vast enterprise customer base—an important step as the company prepares for a potential IPO and seeks wider adoption of its AI technology.

The announcement does not disclose a specific rollout timeline, commercial terms, or pricing structure. It does note that Microsoft and Oracle already provide Grok on their clouds, and that SpaceX has already shipped its models to AWS, indicating early integration activity.

The partnership, if finalized, could accelerate Bedrock adoption and reinforce AWS's leadership in cloud based AI services, while giving SpaceX a broader platform for its Grok models as it pursues broader market penetration.

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Price History

